

Texas MLO Licensing Exam: 3-Day Flashcard Deck

Built for a final three-day push before the SAFE Mortgage Loan Originator Test with Uniform State Content for Texas licensure.

Use this as active recall, not passive reading:

- Day 1: Federal mortgage laws and disclosure timing.
- Day 2: Uniform state content, Texas licensing, and general mortgage knowledge.
- Day 3: Origination workflow, calculations, ethics, fraud, and mixed review.

Primary sources checked May 25, 2026:

- NMLS SAFE MLO National Test with Uniform State Test Content Outline:
https://mortgage.nationwidelicencingsystem.org/knowledge/Products/nmls/pubs/testingHbk/education/mlo_testing/mlo_test_faq/mlo_testing_hbk_testOutline-1.html
- NMLS Preparing for the Test:
https://mortgage.nationwidelicencingsystem.org/knowledge/Products/nmls/pubs/testingHbk/education/mlo_testing/mlo_test_guide/mlo_testing_hbk_testprep.html
- Texas SML Mortgage Origination Laws and Regulations: <https://www.sml.texas.gov/mortgage-origination/laws/>
- Texas SML Mortgage Origination FAQs: <https://www.sml.texas.gov/mortgage-origination/faqs/>
- Texas OCCC RMLO page: <https://occc.texas.gov/industry/rmls/>

Exam weighting from NMLS:

- Federal Mortgage Related Laws: 24%
- Uniform State Content: 11%
- General Mortgage Knowledge: 20%
- Mortgage Loan Origination Activities: 27%
- Ethics: 18%

Day 1 - Federal Mortgage Laws

RESPA / Regulation X

#	Front	Back
1	What is RESPA's core purpose?	To protect consumers in federally related mortgage loans by requiring settlement-cost disclosures and prohibiting abusive settlement practices such as kickbacks and unearned fees.
2	Which regulation implements RESPA?	Regulation X, 12 CFR Part 1024.
3	What is a federally related mortgage loan under RESPA generally tied to?	A loan secured by residential real property designed principally for 1-4 family occupancy, when made by covered creditors/lenders.
4	What is a settlement service?	A service provided in connection with real estate settlement, such as title, appraisal, credit report, loan origination, closing, attorney, document preparation, or escrow services.
5	What does RESPA Section 8 prohibit?	Giving or receiving anything of value for settlement-service referrals and splitting charges except for services actually performed.
6	Are referral fees allowed under RESPA?	No. A fee or thing of value for referring settlement-service business is prohibited.
7	What is an Affiliated Business Arrangement?	A referral to a settlement-service provider in which the referring party has an ownership or financial interest.
8	What must an Affiliated Business Arrangement include?	Written disclosure of the relationship, estimated charges, and notice that the borrower is generally not required to use the affiliate.
9	What is the initial escrow statement?	A disclosure showing expected escrow deposits and disbursements for the first year of the escrow account.
10	When must the annual escrow statement be provided?	Annually, showing escrow activity, payments, deposits, disbursements, and shortages or surpluses.

ECOA / Regulation B

#	Front	Back
11	What is ECOA's core purpose?	To prohibit discrimination in credit transactions.
12	Which regulation implements ECOA?	Regulation B, 12 CFR Part 1002.
13	What protected classes are covered by ECOA?	Race, color, religion, national origin, sex, marital status, age, receipt of public assistance, and exercising rights under consumer credit protection laws.
14	Can a creditor ask about marital status?	Only when permitted by Regulation B, such as for secured credit, community property, or joint credit contexts.
15	Under ECOA, what is adverse action?	A denial, revocation, unfavorable change, or refusal to grant requested credit substantially on requested terms.
16	What must an adverse action notice include?	The action taken, specific reasons or notice of right to reasons, ECOA notice, creditor identity, and relevant agency information.
17	What is the general ECOA timing for notifying an applicant of action taken?	Usually within 30 days after receiving a completed application.
18	Can public assistance income be discounted just because it is public assistance?	No. It may be considered for continuance, reliability, and amount, but not discounted because of its source.
19	If a borrower refuses to provide race/ethnicity/sex information for HMDA monitoring, what should the MLO do?	Note that the borrower declined and, for in-person applications, collect based on visual observation or surname as required.
20	What is a cosigner under ECOA?	A person who assumes liability for another person's debt without receiving loan proceeds or primary benefit.

TILA / Regulation Z

#	Front	Back
21	What is TILA's core purpose?	To promote informed use of credit through clear disclosure of credit terms and costs.
22	Which regulation implements TILA?	Regulation Z, 12 CFR Part 1026.
23	What is APR?	The cost of credit expressed as a yearly rate, including interest and certain finance charges.
24	What is a finance charge?	The cost of consumer credit as a dollar amount, including charges payable directly or indirectly as a condition of credit.
25	What is the right of rescission?	The borrower's right to cancel certain credit transactions secured by the borrower's principal dwelling.
26	How long is the standard rescission period?	Three business days after consummation, delivery of rescission notice, and delivery of material TILA disclosures, whichever occurs last.
27	Does the right of rescission usually apply to a purchase-money mortgage?	No. It generally applies to certain refinances or home equity loans secured by the principal dwelling, not purchase transactions.
28	What is HOEPA?	Home Ownership and Equity Protection Act rules for high-cost mortgages with special restrictions and disclosures.
29	What is an HPML?	A higher-priced mortgage loan, generally a closed-end consumer credit transaction secured by the principal dwelling with APR above specified APOR thresholds.
30	What is the basic MLO compensation rule under Regulation Z?	Compensation generally cannot be based on loan terms or conditions, and dual compensation from both consumer and another party is prohibited in the same transaction.

TRID

#	Front	Back
31	What does TRID combine?	TILA and RESPA mortgage disclosures into the Loan Estimate and Closing Disclosure.
32	What is the Loan Estimate?	A good-faith estimate of loan terms, projected payments, closing costs, and cash to close.
33	When must the Loan Estimate be delivered or placed in the mail?	Within three business days after receiving an application.
34	What six pieces of information trigger an application for TRID?	Consumer name, income, Social Security number to obtain credit report, property address, estimated property value, and mortgage loan amount sought.
35	Can an MLO require verifying documents before issuing a Loan Estimate?	No. A creditor cannot require verification documents before providing the Loan Estimate.
36	When must the Closing Disclosure be received before consummation?	At least three specific business days before consummation.
37	What three changes require a new three-day Closing Disclosure waiting period?	APR becomes inaccurate, loan product changes, or a prepayment penalty is added.
38	What is a changed circumstance?	An event beyond control, new/inaccurate information, or borrower-requested change that affects settlement charges or eligibility.
39	What is zero tolerance under TRID?	Certain fees cannot increase from the Loan Estimate to Closing Disclosure unless a valid exception applies.
40	What is the 10% cumulative tolerance bucket?	Certain third-party and recording charges may increase by no more than 10% in total if the borrower uses providers selected by or identified by the creditor.

Other Federal Laws

#	Front	Back
41	What is HMDA's purpose?	To collect and report mortgage data to identify lending patterns, possible discrimination, and community credit needs.
42	What is FCRA's mortgage relevance?	It governs use of consumer reports, permissible purpose, adverse action tied to credit reports, identity theft, and credit information accuracy.
43	What does FACTA add?	Identity theft protections, fraud alerts, truncation rules, and free credit report rights.
44	What are Red Flags Rules aimed at?	Detecting, preventing, and mitigating identity theft.
45	What is GLBA's mortgage relevance?	Privacy and safeguarding of consumers' nonpublic personal information.
46	What is the Bank Secrecy Act / AML focus for mortgage?	Detecting and reporting suspicious activity, including fraud, money laundering, and structured transactions.
47	What is Regulation N?	Mortgage Acts and Practices advertising rule prohibiting material misrepresentations in mortgage advertising.
48	What is the E-SIGN Act?	It allows electronic records and signatures if consumer consent and other requirements are met.
49	What does the Homeowners Protection Act cover?	Cancellation and termination of private mortgage insurance on certain residential mortgage loans.
50	What federal agency is central to consumer mortgage regulation?	CFPB, which administers or enforces many federal consumer financial protection laws.

Day 2 - Uniform State Content, Texas, and General Mortgage Knowledge

SAFE Act / Licensing

#	Front	Back
51	What is the SAFE Act's purpose?	To improve accountability and tracking of MLOs, enhance consumer protection, reduce fraud, and create minimum licensing standards.
52	What is the NMLS unique identifier?	A permanent identifier assigned to an MLO or entity for tracking through NMLS and consumer access.
53	What two activities define an MLO under the SAFE framework?	Taking a residential mortgage loan application and offering or negotiating residential mortgage loan terms for compensation or gain.
54	Who usually does not need a state MLO license because of federal registration?	MLOs employed by federally regulated depository institutions or certain regulated subsidiaries, though they must be registered.
55	What is sponsorship?	A licensed company or qualifying entity authorizes and accepts responsibility for the MLO's licensed activity.
56	Can an inactive or unsponsored licensee originate?	No. The license must be active and properly sponsored/authorized.
57	What is temporary authority to originate?	Limited authority for certain qualified MLOs moving from federal registration or another state license while a state application is pending.
58	What may state regulators examine?	Books, records, documents, operations, and personnel related to mortgage origination and compliance.
59	What are common grounds for license denial?	Failure to meet education/testing/background standards, lack of financial responsibility or character, disqualifying criminal history, or false/incomplete application information.
60	What is a key advertising requirement for licensed MLOs?	Include the NMLS unique identifier where required, especially in advertisements and business materials.

Texas-Specific Focus

#	Front	Back
61	Which Texas agency licenses most primary residential mortgage MLOs?	Texas Department of Savings and Mortgage Lending (SML).
62	Which Texas agency licenses RMLOs for certain secondary or specialized credit products?	Texas Office of Consumer Credit Commissioner (OCCC).
63	What Texas law is central to RMLO licensing?	Texas SAFE Act, Texas Finance Code Chapter 180, plus related Texas Finance Code Chapter 157 for mortgage banker/RMLO licensing.
64	Under Texas SML guidance, who must be licensed as an RMLO?	An individual who, for compensation or gain, takes a residential mortgage loan application or offers/negotiates residential mortgage loan terms, unless exempt.
65	What Texas pre-licensing education point should you remember?	Texas requires SAFE/NMLS-approved education, including Texas-specific instruction on applicable laws, rules, and practice considerations.
66	What is Texas's main constitutional mortgage topic?	Homestead lending, especially Texas Constitution Article XVI, Section 50.
67	What Texas source lists mortgage origination statutes and rules?	Texas SML's Mortgage Origination Laws and Regulations page.
68	What Texas rule chapter governs residential mortgage loan originators under SML?	Texas Administrative Code, Title 7, Chapter 55.
69	What Texas finance chapters should an RMLO recognize?	Chapters 156, 157, 159, 180, 342, and 343, depending on loan/product context.
70	What is the licensing lesson from Texas OCCC's RMLO page?	Texas has two RMLO licensing agencies; product type and lending authority determine whether SML or OCCC applies.

Mortgage Products and Terms

#	Front	Back
71	What is a qualified mortgage?	A loan meeting ATR/QM standards designed to limit risky features and support ability-to-repay compliance.
72	What is a conventional conforming loan?	A non-government loan that meets Fannie Mae/Freddie Mac standards, including loan limits and underwriting rules.
73	What is a jumbo loan?	A conventional nonconforming loan exceeding conforming loan limits or agency requirements.
74	What are FHA loans known for?	Government-insured loans with flexible credit/down-payment guidelines and mortgage insurance.
75	What are VA loans known for?	Loans for eligible veterans/service members, often with no down payment and a VA guaranty.
76	What are USDA loans known for?	Rural housing loans for eligible properties and borrowers, often with low or no down payment.
77	What is a fixed-rate mortgage?	A mortgage with an interest rate that stays the same for the life of the loan.
78	What is an ARM?	An adjustable-rate mortgage with an interest rate that can change after an initial fixed period according to index, margin, and caps.
79	What are ARM caps?	Limits on how much the interest rate or payment can change at adjustment, annually, or over the life of the loan.
80	What is a balloon mortgage?	A loan with smaller payments followed by a large final payment at maturity.
81	What is a reverse mortgage?	A loan, often HECM, allowing older homeowners to access equity with repayment generally due when the borrower sells, moves out, or dies.
82	What is a HELOC?	A revolving home equity line of credit secured by the property.
83	What is LTV?	Loan-to-value ratio: loan amount divided by property value or purchase price, depending on guidelines.
84	What is DTI?	Debt-to-income ratio: monthly debt obligations divided by qualifying gross monthly income.
85	What are discount points?	Prepaid interest paid upfront to reduce the note rate, typically expressed as points where one point equals 1% of loan amount.
86	What is a 2-1 buydown?	A temporary buydown where payments are subsidized, often 2% lower in year 1 and 1% lower in year 2 before reaching the note rate.
87	What is table funding?	A closing arrangement where the loan is funded by an investor or third party at settlement while another party originates.
88	What is subordination?	Keeping an existing lien in a lower priority position behind a new or modified senior lien.
89	What is an escrow account?	An account used to collect and pay recurring property-related charges such as taxes and insurance.
90	What is APR versus interest rate?	Interest rate is the cost of borrowing principal; APR reflects broader credit cost including certain fees.

Day 3 - Origination Activities, Calculations, Ethics, and Mixed Review

Origination Workflow

#	Front	Back
91	What is the difference between inquiry and application?	Inquiry is preliminary interest; application exists when required application information is received, triggering disclosure duties.
92	What is the MLO's duty when taking an application?	Collect accurate information, avoid prohibited questions, make required disclosures, and avoid steering or misrepresentation.
93	What does ability-to-repay require?	A reasonable, good-faith determination that the borrower can repay based on verified income/assets, employment, debt, credit history, payment, and related factors.
94	What must be verified in underwriting?	Income, assets, employment, credit, liabilities, property value, occupancy, and loan-program eligibility.
95	What is the purpose of an appraisal?	To provide an independent opinion of property value supporting collateral analysis.
96	What are the three common appraisal approaches?	Sales comparison/market, cost, and income approaches.
97	Why is appraiser independence important?	To prevent coercion, conflicts, inflated values, and unfair lending outcomes.
98	What is title insurance for?	To protect lender or owner against covered title defects, liens, or ownership claims.
99	What is flood insurance tied to?	Property in a Special Flood Hazard Area securing a loan from a covered lender.
100	What are prepaid items?	Costs paid at closing for future periods, such as prepaid interest, taxes, insurance, or escrow setup.

Calculations

#	Front	Back
101	Formula for LTV?	$\text{Loan amount} / \text{property value} = \text{LTV}$. Example: $\$240,000 / \$300,000 = 80\%$.
102	Formula for CLTV?	$\text{Combined liens} / \text{property value} = \text{CLTV}$. Example: $\$240,000 \text{ first} + \$30,000 \text{ second} / \$300,000 = 90\%$.
103	Formula for front-end housing ratio?	$\text{Proposed housing payment} / \text{gross monthly income}$.
104	Formula for back-end DTI?	$\text{Total monthly debt obligations including housing} / \text{gross monthly income}$.
105	How do you calculate one discount point?	$\text{Loan amount} \times 1\%$. Example: 1 point on $\$250,000 = \$2,500$.
106	How do you calculate simple daily interest?	$\text{Principal} \times \text{annual rate} / 365 \times \text{number of days}$.
107	How do you calculate down payment?	Purchase price minus loan amount.
108	What happens to LTV when down payment increases?	LTV decreases.
109	What happens to DTI when monthly debts increase?	DTI increases.
110	What is cash to close?	Borrower's total funds needed at closing after credits, deposits, loan proceeds, and closing costs are considered.

Ethics, Fraud, and Prohibited Conduct

#	Front	Back
111	What is redlining?	Refusing or limiting credit in certain areas based on prohibited characteristics rather than credit risk.
112	What is steering?	Directing a borrower to a loan not in their interest because it benefits the MLO or company.
113	What is predatory lending?	Abusive lending that exploits consumers through unfair, deceptive, unaffordable, or equity-stripping terms.
114	What is a kickback?	Anything of value exchanged for referral of settlement-service business.
115	What is fee splitting?	Sharing fees without services actually performed, often prohibited under RESPA.
116	What is occupancy fraud?	Misrepresenting intended occupancy, such as claiming primary residence to obtain better terms while intending investment use.
117	What is income fraud?	Falsifying or inflating income documentation or representations to qualify for a loan.
118	What is asset fraud?	Falsifying assets, hiding borrowed funds, or using unexplained deposits as if they are legitimate borrower funds.
119	What is straw buyer fraud?	Using another person as the borrower to hide the true buyer or beneficiary.
120	What is identity theft risk in mortgage origination?	Use of stolen or synthetic identity information to apply for credit or obtain loan proceeds.
121	What should an MLO do when discovering false borrower information?	Stop, escalate according to company policy, document appropriately, and do not submit or rely on false information.
122	Can an MLO coach a borrower to omit debts not showing on a credit report?	No. Omitting known liabilities is misrepresentation and a prohibited/unsafe practice.
123	Can an MLO use a supervisor's NMLS number in advertising or documents?	No. The correct individual/entity identifier must be used.
124	What makes mortgage advertising misleading?	False or incomplete terms, hidden conditions, inaccurate payment/rate claims, or creating a false impression about government affiliation or approval.
125	What is UDAAP?	Unfair, deceptive, or abusive acts or practices.
126	What is the ethical response to a referral partner demanding payment for leads?	Refuse any prohibited referral fee/kickback and follow compliant marketing/referral rules.
127	What is the ethical issue with pressuring an appraiser?	It compromises independent valuation and can violate appraisal independence rules.
128	What is the ethical issue with unauthorized credit pulls?	Consumer reports require permissible purpose and proper authorization.
129	What is a conflict of interest?	A situation where personal or financial interests could compromise objective advice or consumer treatment.
130	What should guide product recommendation?	Borrower needs, eligibility, ability to repay, loan terms, documented facts, and lawful fair-lending standards.

Mixed Final Review

#	Front	Back
131	Highest-weight NMLS content area?	Mortgage Loan Origination Activities at 27%.
132	Second-highest NMLS content area?	Federal Mortgage Related Laws at 24%.
133	Ethics weight on the NMLS outline?	18%.
134	General Mortgage Knowledge weight?	20%.
135	Uniform State Content weight?	11%.
136	What should you do if exam facts conflict with old course notes?	Use current statutes, regulations, and official NMLS/test-outline guidance.
137	What is consummation?	The time the consumer becomes contractually obligated on the credit transaction under applicable law.
138	What should an MLO do with incomplete TRID disclosure information?	Do not fabricate. Use known information, issue required disclosures timely, and update/revise only when rules permit.
139	What is a loan originator prohibited from doing under compensation rules?	Varying compensation based on terms or conditions of the loan, such as interest rate or loan product features.
140	What is the exam strategy for disclosure timing questions?	Identify the law, trigger event, clock start, business-day definition, and required recipient.
141	What is the exam strategy for ethics scenarios?	Choose the answer that protects the consumer, documents truthfully, escalates compliance issues, and refuses undisclosed compensation or false information.
142	What is the exam strategy for fair-lending questions?	Focus on creditworthiness and program criteria, never protected characteristics.
143	What is the exam strategy for Texas licensing questions?	Identify the activity, compensation/gain, loan type, exemption, agency jurisdiction, and sponsorship status.
144	What is the exam strategy for product questions?	Match borrower need and risk to product features: rate type, payment structure, insurance/guaranty, term, and eligibility.
145	What is the exam strategy for fraud questions?	Spot inconsistencies, unexplained funds, occupancy conflicts, altered documents, pressure, and missing verification.
146	What is a common wrong answer pattern?	It benefits the MLO/referral partner, hides information, delays required disclosure, or assumes undocumented facts.
147	What is the safest action when a borrower asks you to change facts to qualify?	Refuse, explain that the application must be accurate, and document/escalate according to policy.
148	What is the safest action when a fee changes near closing?	Determine tolerance category and valid change circumstance, redisclose/cure if required, and avoid unauthorized increases.
149	What is the safest action when a consumer asks for their Loan Estimate after the six application items are received?	Provide it within the required timing; do not wait for verifying documents.
150	What is the last-night rule?	Do not learn new obscure topics late. Review timing, formulas, prohibited acts, Texas licensing triggers, and missed cards.

3-Day Drill Schedule

Day 1 - Law and Timing

- Study cards 1-50.
- Re-test missed cards immediately.
- Write from memory:
 - TRID six application items.
 - Loan Estimate and Closing Disclosure timing.
 - ECOA protected classes.
 - RESPA Section 8 rule.
 - Right of rescission rule.

Day 2 - State, Texas, Products

1. Review missed Day 1 cards first.
2. Study cards 51-90.
3. Write from memory:
 - MLO definition.
 - Sponsorship/active license rule.
 - Texas SML vs OCCC distinction.
 - Main product types and risk features.
 - LTV, CLTV, DTI formulas.

Day 3 - Origination, Ethics, Final Recall

1. Review all missed Day 1 and Day 2 cards.
 2. Study cards 91-150.
 3. Run a mixed recall pass:
 - 20 timing/law questions.
 - 15 product/term questions.
 - 15 ethics/fraud questions.
 - 10 calculation questions.
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1. Stop heavy studying the night before. Do one final pass through missed cards only.